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Migration on the Rise, a Paradigm in Decline: The Last Half-Century of Global Mobility†

By Michael A. Clemens*

Since the 1980s, workers have again moved between countries at rates not seen since before World War I. This time, migrants are far more likely to come from Latin America, Asia, and—increasingly—Africa. This paper reviews the broad causes and effects of this transformation, and its lessons economists who study migration.

Also since the 1980s, the field of migration economics has been dominated by a core, elegant, textbook model of the causes and effects of workers' location choice (e.g., Borjas 2020). As workers in the Roy (1951) model choose an occupation, they are also assumed to choose a country of residence, where they swell a labor aggregate in a fixed production function with diminishing returns. The model usefully predicts some facts: (i) richer countries see net immigration, (ii) not everyone migrates, and (iii) not everyone migrates all at once.

I. The Old Model of Location Choice

The resurgence of global migration offers an opportunity to test that model's numerous other predictions.

The model predicts *causes*: Rising trade and capital flows should substitute for migration, and vice versa, via factor price equalization. Economic development in poor countries should reduce the number of migrants, just as higher wages for hunters reduce the number of fishers. Migration today should reduce migration tomorrow, as the gain is arbitraged away.

The model also predicts *effects*: Typical migrants from poor, unequal countries should be the least productive workers, as they have the most to gain. Native workers should be directly harmed—until capital accumulation merely leaves them where they started. Skill-selective immigration restrictions should simply shift the harm, impoverishing poor countries by "brain drain."

In short, the still-dominant model predicted that the resurgence of global migration would be fundamentally an *effect* of poverty in migrant-origin countries and a *cause* of poverty in destination countries (if low-skill) or origin countries (if high-skill). "[O]ne begins to wonder," writes Card and Peri (2016, p. 1,348), "why countries ever decide to have any immigrants." They wryly admonish us to demand better than a model broadly falsified by the evidence.

II. Causes of Rising Global Mobility

Three times more people live outside their country of birth now than a half century ago, with a much larger share from developing countries. The United States, where the developing-country share of immigrants shot up from 32 percent to 88 percent, exemplifies this sea change (Figure 1).

The core causes of that transformation falsify the old location-choice model. The following very brief summary of evidence is extended in the online Appendix.

Did more migration result from a retreat of trade and capital flows? Just the opposite: They soared during the same years. Greater trade and investment between countries have caused *more* migration between them (e.g., Triandafyllidou 2018). Secure contracts, worker matching, technology transfer, service provision, and other taproots of specialized exchange continue to occur in person.

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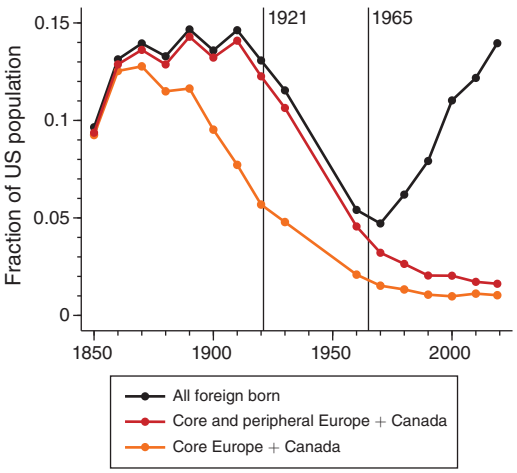

Figure 1. The Changing Prevalence and Composition of US Immigrants, 1850–2019

Note: Source and methods in the online Appendix.

Did migration arise from failed economic development in poor countries? Just the opposite. Global migration surged from the European Core in the mid-nineteenth century, the European Periphery around the turn of the twentieth century, and from Latin America and Asia in the second half of the twentieth (Figure 1). These surges coincided with the *arrival* of modern economic growth and each region's *ascent* out of poverty—as structural changes in demography, urbanization, human capital, and international linkages complemented migration flows (e.g., Hatton and Williamson 2005).

For this reason, far from deterring the rebirth of global migration, economic development in migrant-origin countries can *fully explain it*. Panel A of Figure 2 shows the cross-country correlation in 1970 between real income per capita and the prevalence of emigration to high-income countries. Now, naively suppose that correlation reflected some necessary or sufficient causal relationship. As those countries developed between 1970 and 2019, what rise in migration prevalence would we have predicted? The striking answer is all of it (see Figure 2, panel B).

In the broadest terms, migration in each modern era has been an unmistakable sign that development is succeeding. Migration has lagged most where development has lagged most, apparent in the relative absence of Africans in the richest countries.

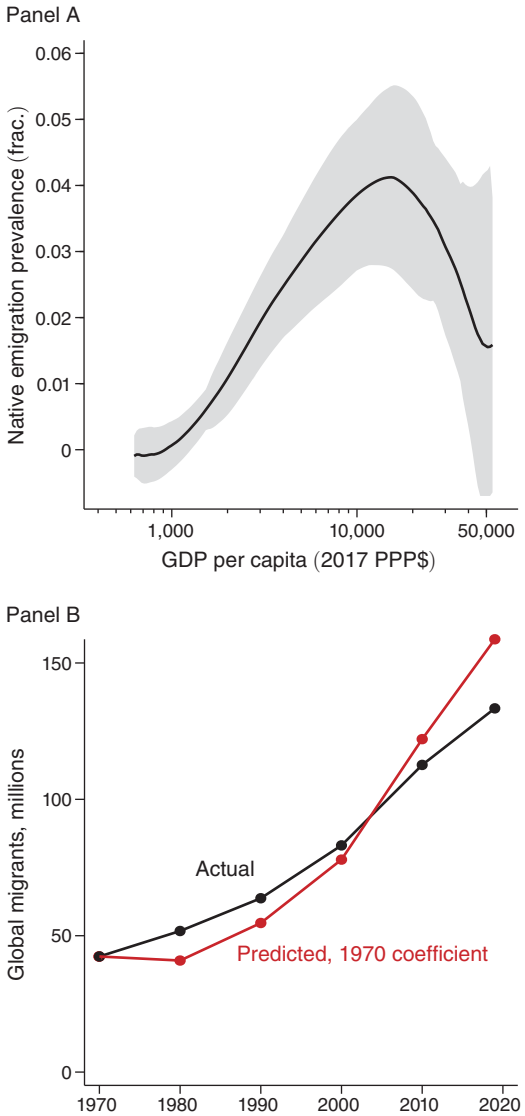

Figure 2. Using Economic Development to Explain the Rise of Migration after 1970

Note: Sources and methods in the online Appendix.

Did initial waves of migration reduce the incentive for further migration by spatially equilibrating the labor market? Just the opposite. Migration begets more migration, for generations. Prior migrants raise the net benefits and incidence of new migration (see Munshi 2020).

Policy matters in migration, of course. The large dip in overall migrant prevalence in

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Figure 1 owes much to quotas imposed by the United States starting in 1921 (with similar measures in Canada, Australia, and elsewhere) and only relaxed in the late 1960s. Dismantling Asian exclusion in the US, Canada, and Australia certainly enhanced migration after 1970.

However, relaxing policy barriers was not paramount. Africans faced no exclusion from US citizenship after 1871 and no entry quota from then until 1921. Haitians faced no bar to citizenship or entry from 1871 through 1968. Neither group immigrated in substantial numbers during those "open" years. That began *after* 1968.

The clearest case is Mexico. Mexicans only faced a tightly binding quota after 1976—which is when they *began* migrating in large numbers. That was not driven by soaring wage gaps across the border. The US-Mexico ratio of average real income per capita at purchasing power parity was 3.3 in both 1976 and 2016. What provoked the move?

A central answer is economic development. In Figure 3, the thick black line shows the actual number of Mexican-born immigrants (age 10+) residing in the United States since 1900. Suppose that the age- and literacy-specific tendency of Mexicans to migrate *had never changed since* 1930, before they faced major immigration barriers. But suppose that Mexicans' age structure and literacy changed as they did—the demographic and education transition at the heart of development. Accounting for nothing else, the number of Mexican-born immigrants in the US today would be 68 percent of its true value. Broadly, Mexicans are not in the United States because Mexico fell into poverty, but because Mexico emerged from poverty (e.g., Hanson and McIntosh 2010).

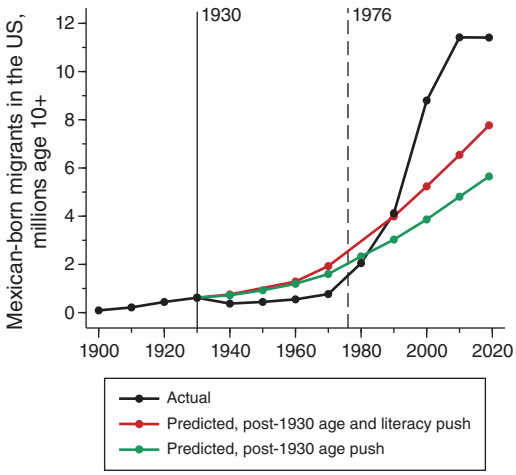

FIGURE 3. MEXICO-US MIGRATION AND DEVELOPMENT IN MEXICO

Note: Sources and methods in the online Appendix.

III. Effects of Rising Global Mobility

The effects of the post-1970 rebirth of migration, like the causes, generally falsify the old location-choice model of migration.

Did the large rise in migration from the developing world broadly substitute for workers in the destinations? No. As several prior reviews find, Edo et al. (2020, p. 1,367) conclude that "the impact of immigration on the average wage and employment of native-born workers is zero or slightly positive in the medium to long term." That empirical result requires that rising migration has stimulated natives' demand, investment, trade, innovation, entrepreneurship, occupational upgrading, and/or education. The textbook migration model assumes all of these effects to be zero. Relax any of these assumptions, and the relevant labor demand curve need not slope down (e.g., Clemens, Lewis, and Postel 2018).

Migrants *did* substitute for non-emigrants in the developing countries they left, such that their departure often raised wages there (Mishra 2015). They sent home much more money than governments sent in foreign aid, causing lasting increases in human capital investment (e.g., Khanna, Theoharides, and Yang 2020).

Did migration since 1970 typically select for the least productive workers? No. Migrants across the developing world are positively self-selected on determinants of income, both observed (Hanson 2010) and unobserved (Clemens and Mendola 2020).

Did more migration substitute for other forms of globalization via factor-price equalization? No. More migration has *increased* the volume and scope of trade (Rapoport 2018), and flows of capital and technology (Kerr 2008; Burchardi, Chaney, and Hassan 2018; Mayda et al. 2019).

Recent migration has likely caused moderate increases in inequality at the destinations. It raised pretax wages more for the most educated

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natives than for the least (Ottaviano and Peri 2012), and it eroded natives' willingness to redistribute (Alesina, Murard, and Rapoport 2021). However, this explains very little of the overall rise in inequality (e.g., Autor, Katz, and Kearney 2008).

By allocating labor to more productive places, recent migration has enriched the world economy as a whole (Clemens 2011; Dustmann and Preston 2019) and modestly reduced *global* inequality (Milanovic 2015; Clemens, Montenegro, and Pritchett 2019). These effects have been small because migration is small. All migration since 1970 has raised the migrant fraction of the world by just one percentage point.

IV. A Copernican Moment for Migration Economics

There is now broad agreement that the evidence of the last half century falsifies the predictions of old model. Evidence "appears to be at odds" with predictions about the causes of migration (Abramitzky and Boustan 2017, p. 1,323). The model is "not a very good description" of the effects of migration (Banerjee and Duflo 2019, p. 27).

What should replace this paradigm in crisis? One option is additional layers of assumptions—an "augmented Roy model" with network effects (Munshi 2020) or linear utility (Grogger and Hanson 2011). Such tweaks amount to how pre-Copernican astronomers responded to increasingly anomalous predictions of the geocentric model of the cosmos. What was needed instead was to uproot and supplant the geocentric model with the heliocentric model.

A superior economic paradigm for migration would build on and formalize the unfinished research program begun by Sjaastad (1962): to treat investment in migration analogously to investment in education. We are not surprised that trade, capital flows, economic development, and prior education are generally complements—not substitutes—for further investment in education. We are not surprised that investors in education are positively selected, and that they create more economic opportunity for others—by fostering specialization—than they take away by competition. All of these characterize investors in migration as well. Economists' work on migration will gain real-world relevance by adapting our theories of other forms of human capital investment. These few pages allow only such a hint of how a new, more useful paradigm might look.

Labor remains very far from "globalized." The share of people who live in their birth country is currently 96.4 percent, barely down from 97.5–98.0 percent in 1910. But global labor mobility has been reborn: The absolute number of people migrating to live outside their countries of birth increased more than sixfold over the same long century. This is very likely to continue, given shrinking labor forces in many migrant-destination countries and continuing development and demographic transition in the developing world, particularly in Africa (Pritchett and Hani 2020).

Why did global labor mobility come back? Fundamentally, it was a product of rising capability, nutrition, and education in developing countries—supporting all of those, in turn, as another form of human capital. It was a product of and cause of greater trade, investment, and innovation—as another form of human capital. It was a product of prior migration itself, which snowballs—as another form of human capital. What we have seen since 1970 is not a much more open world, but a more developed world, and thus a more mobile world. We will understand it better, as astronomers understood the heavens, by discarding outworn assumptions.

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